

Q1.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Knowledge 1, Application 1, Analysis 3</b></p> <p><b>Knowledge/Understanding:</b> 1 mark for:<br/>Understanding or definition of a concentration ratio (1)</p> <p><b>Application:</b> 1 mark for reason e.g.<br/>Change in shopping habits which has led to consumers shopping more frequently in discount stores/online shopping from other retailers (1)<br/><b>OR</b><br/>The smaller discount stores such as Aldi and Lidl have increased their market share (1)</p> <p><b>Analysis:</b><br/>Award further marks for linked developments e.g. because Aldi and Lidl focus on low prices so their sales have risen faster than those of the big four (1) more convenient to shop at local stores (1)</p> <p>The four firm concentration ratio has decreased by 3.6 percentage points (2)<br/><b>OR</b><br/>Calculation of the four firm concentration ratio in 2010<br/>(<math>30.8 + 17.6 + 16.1 + 11.6 = 76.1\%</math>) (1)<br/>Calculation of the four firm concentration ratio in 2015<br/>(<math>28.6 + 16.5 + 16.5 + 10.9 = 72.5\%</math>) (1)</p>                                                                                                                                                                                                                                                                | (5)  |
| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Mark |
| (b)             | <p style="text-align: center;"><b>Knowledge 2, Application 2, Analysis 4</b></p> <ul style="list-style-type: none"> <li>• Definition of monopsony</li> <li>• Food prices likely to fall</li> </ul> <p><b>Effects on food suppliers might include:</b></p> <ul style="list-style-type: none"> <li>• Financial problems from delays in receiving payments from supermarkets (Extract A)</li> <li>• Lower prices mean a reduction in revenue and profits</li> <li>• Increased costs due to paying excessive amounts for packaging and promotions.</li> <li>• Losses may even be made</li> <li>• Pressure on suppliers to cut costs</li> <li>• Fall in employment</li> <li>• Some food suppliers may exit the industry</li> <li>• Less funds for investment</li> <li>• Risk that suppliers will reduce product quality</li> <li>• Figure 2 indicates some supermarkets abused their market power e.g. Tesco and Morrisons.</li> </ul> <p><b>Effects on consumers might include:</b></p> <ul style="list-style-type: none"> <li>• Lower prices mean higher consumer surplus</li> <li>• Impact on food waste</li> <li>• Impact of cost cutting measures on quality of food and consumer choice.</li> </ul> <p><b>NB for a Level 3 response, candidates must consider both food suppliers and consumers in their answer. Answers must refer to the context.</b></p> | (8)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3–5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6–8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Mark       |
|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (b)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"> <li>• Food suppliers may be able to increase efficiency and so remain profitable and stay in the industry.</li> <li>• Supermarkets may be reluctant to use their monopsony power for fear of GCA, government investigation and possible fines up to 1% of sales revenue.</li> <li>• Consumers may not benefit since supermarkets may not pass on lower costs in the form of lower prices.</li> <li>• Supermarket sector may not be a monopsony as there is more than one buyer –so perhaps less power over food suppliers.</li> <li>• According to Figure 2 some supermarkets may not abuse their position e.g. Aldi and Sainsbury.</li> <li>• Long term implications: exit of firms may risk supplies to consumers.</li> <li>• Consideration of bilateral monopoly e.g. large food supply firms or cooperatives.</li> <li>• Food suppliers may diversify e.g. farm shops.</li> <li>• Food suppliers may undertake vertical integration.</li> </ul> | <b>(4)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                            |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Mark       |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (c)             | <p style="text-align: center;"><b>Knowledge 2, Analysis 2, Application 2, Evaluation 2</b></p> <p><b>Knowledge/understanding:</b> 2 marks for identification of two measures (1+1)</p> <p><b>Analysis:</b> 2 marks for linked explanation of these measures (1+1)</p> <p><b>Application:</b> 2 marks for reference to data (1+1), e.g.</p> <ul style="list-style-type: none"> <li>• Fines - GCA can fine supermarkets up to 1% of annual revenue (1)</li> <li>• Regulation to ensure payments made within standard time (1)</li> <li>• Price regulation e.g. minimum pricing – to ensure fair prices are paid for supplies (1) /relevant diagram (1)</li> <li>• Promote new entrants and further competition in supermarket sector (1)</li> <li>• Block mergers if it leads to increased monopsony power (1)</li> </ul> <p><b>Evaluation:</b> 2 marks for two evaluative comments, OR 2 marks for identification and linked development e.g.</p> <ul style="list-style-type: none"> <li>• Asymmetric information may lead to regulator making incorrect decisions (1) e.g. too lenient or too harsh on supermarkets (1)</li> <li>• Regulatory capture may arise (1)</li> <li>• Regulator may lack resources to investigate supermarket sector thoroughly (1)</li> <li>• Problems of gaining accurate information from suppliers (1) as they are reluctant to complain (1)</li> <li>• CMA may allow mergers (1) which increase monopsony power of supermarkets (1)</li> <li>• Government may counteract monopsony power by protecting farmers' income e.g. subsidies (1+1)</li> <li>• Problems of minimum price e.g. excess supply/food waste (1)</li> </ul> | <b>(8)</b> |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p><b>Knowledge 2, Application 2, Analysis 2</b></p> <ul style="list-style-type: none"> <li>• Identification of information gaps as a cause of market failure</li> </ul> <p><b>Information gaps as main cause of food waste e.g.</b></p> <ul style="list-style-type: none"> <li>• Food suppliers lack market information: e.g. predicting size of harvests – dependent on climate/ pest control and disease/ time lags in growing crops and raising livestock.</li> <li>• Supermarkets lack market information: e.g. predicting household demand – depends on tastes and fashion which may change/ population and migration changes/ impact of competitors.</li> <li>• Consumers lack market information: e.g. uncertainty over how to store food or whether food is fit for consumption after sell-by dates.</li> </ul> <p><b>Irrational behaviour as main cause of food waste e.g.</b></p> <ul style="list-style-type: none"> <li>• Computation issues e.g. consumers perceived demand may exceed actual demand for food / difficulty in comparing the different size of food products to fit with the actual amount of food required.</li> <li>• Habitual behaviour e.g. consumers may have a tendency to purchase more food than required/ better to have too much than too little food.</li> <li>• Influence of other people's behaviour e.g. consumers may purchase food that they might not want.</li> <li>• Impulse buying e.g. due to advertising or use of special offers.</li> </ul> <p>NB These points could count as Evaluation and the Evaluation points as KAA.</p> <p>NB A Level 3 response would typically consider both 'information gaps' and 'irrational behaviour'.</p> <p>NB There may be overlap between information gaps and irrational behaviour as possible causes of food waste.</p> | (6)  |



| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                             |
|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                      |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no link between causes and consequences.                                                                |
| Level 2 | 3–4  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or the answer may lack balance.        |
| Level 3 | 5–6  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are applied appropriately to the broad elements of the question. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Mark       |
|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (d)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"> <li>Consideration of relative proportions of food waste e.g. supermarkets appear favourable compared to food suppliers and households.</li> <li>Other factors could cause food waste e.g.               <ul style="list-style-type: none"> <li>Misleading advertising by firms so consumers purchase food they do not want.</li> <li>Transport and storage problems due to road congestion / problems of importing food from overseas.</li> </ul> </li> <li>Consideration of whether it is rational to assume that consumers seek to maximise utility in allocating their expenditure / and firms seek to maximise profits in making production decisions.</li> <li>Long run information gaps may narrow and irrational behaviour may reduce e.g. improved labelling and social enterprise, advice to customers on how to store food and use leftovers or use of new technology to extend freshness of food.</li> </ul> <p>NB These points could count as KAA and the KAA as evaluation.</p> | <b>(4)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p style="text-align: center;"><b>Knowledge 3, Application 3, Analysis 3</b></p> <p><b>Problems of merger include:</b></p> <ul style="list-style-type: none"> <li>• CMA may block this horizontal merger since the combined firm has 27.4% market share/ exceeds the 25% legal monopoly figure.</li> <li>• Costs to the firms: possible diseconomies of scale such as overlap between location of stores/ co-ordination of staff/ redundancies/ implementation of new IT system (different types of diseconomies of scale may be awarded separately).</li> <li>• Impact of merger on consumer loyalty: the new store may not deliver consumer loyalty, for example, different brands between stores.</li> <li>• Lack of synergies and cultural clash</li> <li>• Underlying market conditions remain: consumers changing their shopping habits and merger does not address this issue.</li> <li>• Impact on food suppliers: increased monopsony pressure on suppliers may lead to reduced choice of food suppliers. An increased risk of GCA investigation.</li> <li>• Consideration of problems of other mergers and acquisitions: for example, BT takeover of EE.</li> </ul> <p>NB for a Level 3 response there must be reference to the context e.g. Figure 1 or Extract C.</p> | (9)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–3  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 4–6  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 7–9  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark       |
|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (e)<br>continued | <p style="text-align: center;"><b>Evaluation 6</b></p> <ul style="list-style-type: none"> <li>• There may be benefits which offset the problems, such as               <ul style="list-style-type: none"> <li>◦ different types of economies of scale e.g. bulk purchase</li> <li>◦ rationalisation of stores and employees could lead to increased efficiency and profitability</li> <li>◦ increased market power</li> </ul> </li> <li>• CMA could permit merger as sufficient competition still exists in the sector from online shopping and the growth of discount stores.</li> <li>• Prioritisation of problems with justification, for example, a lot of money could be spent on the proposed merger which is then blocked by CMA.</li> <li>• Short-run and long run implications: enormous upheaval in short run but sufficient cost savings could be made in long run to make it worthwhile.</li> </ul> | <b>(6)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                               |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                  |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                             |
| Level 2 | 3–4  | Evidence of evaluation of alternative approaches which is unbalanced.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning. |
| Level 3 | 5–6  | Evaluative comments supported by relevant chain of reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence.     |

Q2.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark                              |                                       |                                       |                                       |                                       |    |   |   |   |    |    |   |   |   |   |    |   |   |    |   |    |   |   |    |   |    |   |   |    |   |     |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|----|---|---|---|----|----|---|---|---|---|----|---|---|----|---|----|---|---|----|---|----|---|---|----|---|-----|
| (a)             | <p style="text-align: center;"><b>Application 2, Knowledge 2</b></p> <p><b>Application:</b><br/>Accurate insertion of data in both columns in table (either fully or as far as the new equilibrium).<br/>(1+1 marks)</p> <table><tr><th>Price £</th><th>Quantity demanded per month (000)</th><th>Quantity supplied per month (000)</th><th>New Quantity demanded per month (000)</th><th>New Quantity supplied per month (000)</th></tr><tr><td>25</td><td>5</td><td>9</td><td>8</td><td>10</td></tr><tr><td>24</td><td>6</td><td>8</td><td>9</td><td>9</td></tr><tr><td>23</td><td>7</td><td>7</td><td>10</td><td>8</td></tr><tr><td>22</td><td>8</td><td>6</td><td>11</td><td>7</td></tr><tr><td>21</td><td>9</td><td>5</td><td>12</td><td>6</td></tr></table> <p><b>Knowledge/understanding:</b><br/>Calculation of new equilibrium price of £24 (1) and quantity of 9 000 (1)</p> <p><b>NB do not award for quantity of 9</b></p> <p><b>Award full marks for £24 and 9 000</b></p> | Price £                           | Quantity demanded per month (000)     | Quantity supplied per month (000)     | New Quantity demanded per month (000) | New Quantity supplied per month (000) | 25 | 5 | 9 | 8 | 10 | 24 | 6 | 8 | 9 | 9 | 23 | 7 | 7 | 10 | 8 | 22 | 8 | 6 | 11 | 7 | 21 | 9 | 5 | 12 | 6 | (4) |
| Price £         | Quantity demanded per month (000)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Quantity supplied per month (000) | New Quantity demanded per month (000) | New Quantity supplied per month (000) |                                       |                                       |    |   |   |   |    |    |   |   |   |   |    |   |   |    |   |    |   |   |    |   |    |   |   |    |   |     |
| 25              | 5                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 9                                 | 8                                     | 10                                    |                                       |                                       |    |   |   |   |    |    |   |   |   |   |    |   |   |    |   |    |   |   |    |   |    |   |   |    |   |     |
| 24              | 6                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 8                                 | 9                                     | 9                                     |                                       |                                       |    |   |   |   |    |    |   |   |   |   |    |   |   |    |   |    |   |   |    |   |    |   |   |    |   |     |
| 23              | 7                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 7                                 | 10                                    | 8                                     |                                       |                                       |    |   |   |   |    |    |   |   |   |   |    |   |   |    |   |    |   |   |    |   |    |   |   |    |   |     |
| 22              | 8                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 6                                 | 11                                    | 7                                     |                                       |                                       |    |   |   |   |    |    |   |   |   |   |    |   |   |    |   |    |   |   |    |   |    |   |   |    |   |     |
| 21              | 9                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 5                                 | 12                                    | 6                                     |                                       |                                       |    |   |   |   |    |    |   |   |   |   |    |   |   |    |   |    |   |   |    |   |    |   |   |    |   |     |

| Question Number | Answer | Mark |
|-----------------|--------|------|
| (b)             | C      | (1)  |



Q3.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                               | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Application 2</b></p> <p><b>Application:</b> 1 mark for applying the formula and 1 mark for the correct answer</p> <p style="text-align: center;"><math>-21.65\% \div 17.78\% (1) = -1.2 (1)</math></p> <p>Correct calculations of both percentages accept (-) 0.217 and (-) 0.178 = 1 mark</p> <p><b>NB if the answer given is -1.2 or 1.2, award 2 marks</b></p> | (2)  |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p style="text-align: center;"><b>Knowledge 1, Analysis 1</b></p> <p><b>Knowledge/understanding:</b><br/>1 mark for original <b>and</b> new sales revenue<br/>Original sales revenue: £7.20 × 97 million = £698.4 million</p> <p>New sales revenue: £8.48 × 76 million = £644.5 million</p> <p><b>Analysis:</b><br/>1 mark for the change in revenue: -£53.9 million (accept close approximation, for example a fall of £54 million)</p> <p><b>NB if the answer given is -53.9m/53.9m award 2 marks (this may be stated as -7.7% or 7.7%)</b></p> <p><b>NB If million is missing from the answer award up to 1 mark</b></p> | (2)  |

| Question Number | Answer | Mark |
|-----------------|--------|------|
| (c)             | B      | (1)  |

Q4.

| Question Number | Answer                                                                                                                                                                                                                                                                                                          | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Application 2</b></p> <p><b>Application:</b><br/> <math>568 \times 1.8</math> million (1)<br/>           Accept 1022 million or 1022.4 million for 2 marks.<br/>           Accept 1,022,400,000</p> <p><b>NB If million is missing from the answer award up to 1 mark</b></p> | (2)  |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p style="text-align: center;"><b>Application 2</b></p> <p><b>Application:</b><br/>           1 mark for the percentage of subsidy for consumers:<br/> <math>71 \div 568 \times 100 = 12.5\%</math> (1)</p> <p>1 mark for the percentage of subsidy received by producers:<br/> <math>497 \div 568 \times 100 = 87.5\%</math> (1)</p> <p>Award 1 mark if the answers are transposed</p> <p><b>NB</b> if no correct calculations, award up to 1 mark for: correct annotation of diagram depicting consumer and producer subsidy areas</p> <p>OR the actual consumer subsidy per unit (71 rupees) and producer subsidy per unit (497 rupees)</p> <p>OR consumer subsidy (127.8 million rupees) and Producer subsidy (894.6 million rupees)</p> | (2)  |

| Question Number | Answer | Mark |
|-----------------|--------|------|
| (c)             | A      | (1)  |

Q5.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Application 2</b></p> <p><b>Application:</b> 1 mark for calculating both the percentage change in quantity and the percentage change in price and 1 mark for correct answer</p> <p>Percentage change in quantity = <math>0.2/145 \times 100 = 0.1</math> (1)<br/>           Or<br/>           Percentage change in price = <math>2.14/2.84 \times 100 = 75.4</math> (1)</p> <p>PES = <math>0.1/75.4 = 0.0</math> (1)</p> <p>NB if the answer given is 0 to 0.002 award 2 marks.</p> | (2)  |

| Question Number | Answer | Mark |
|-----------------|--------|------|
| (b)             | D      | (1)  |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                            | Mark |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p style="text-align: center;"><b>Knowledge 2</b></p> <p><b>Knowledge:</b> 1 mark for identifying that is likely to become more elastic and 1 mark identifying why, e.g.</p> <p>The price elasticity of supply will become more elastic (1) as coffee growers will be able to respond by planting more coffee which will increase supply in the long run (1).</p> | (2)  |

Q6.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Mark       |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (a)             | <p style="text-align: center;"><b>Knowledge 1, Application 2, Analysis 2</b></p> <p>Three-firm concentration ratio is the sum of the largest market share of the biggest three firms as a proportion of the whole market (1)</p> <p>Calculations e.g.</p> <ul style="list-style-type: none"> <li>• <math>2681+1025+648 = 4354</math> (1)</li> <li>• <math>50+40+30+3748 = 3868</math> (1)</li> <li>• <math>8222</math> (1)</li> <li>• <math>4354/8222</math> (1) = 0.53</li> </ul> <p>Answer = 52.96%</p> <p><b>Award 5 marks for correct answer (52.96)</b></p> <p><b>N.B. allow 52-53 or 0.53:1 (5)</b><br/> <b>N.B. Maximum of 4 marks if no correct answer given e.g. 0.53 (4)</b></p> | <b>(5)</b> |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
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| (b)             | <p style="text-align: center;"><b>Knowledge 2, Analysis 2, Application 2, Evaluation 2</b></p> <p><b>Knowledge/understanding:</b> 2 marks (1+1) e.g.</p> <ul style="list-style-type: none"> <li>• Acknowledgement of price inelastic demand (1)</li> <li>• Acknowledgement of price inelastic supply (1)</li> <li>• Non-price determinants of demand (1)</li> <li>• Non-price determinants of supply (1)</li> <li>• Cross price elasticity of demand (1)</li> </ul> <p><b>Analysis:</b> 2 marks for linked explanation (1+1) e.g.</p> <ul style="list-style-type: none"> <li>• Speculative demand, change income, taste and preference (1)</li> <li>• Supply chain failure/ harvest failure/weather/seasonality (1)</li> <li>• Price inelastic demand, lack of close substitutes, small proportion of income, necessity (1)</li> <li>• Price inelastic supply – time-lags with supply, storage problems (1)</li> <li>• Closure of cafés/farms/freight in 2020 (1)</li> </ul> <p><b>Application:</b> 2 marks with at least 1 mark for reference to Figure 2 e.g.</p> <ul style="list-style-type: none"> <li>• May 2020 price falls 3.23% (1)</li> <li>• April 2020 price rises 4.28% (1)</li> <li>• Between April and May 2020 price moved by 7.51 percentage points (1)</li> <li>• Price falls from \$3.13 (Jan 2020) to \$2.99 (Feb 2020) (1+1)</li> <li>• Price rises \$2.99 (Feb 2020) to 3.27 (March 2020) (1+1)</li> <li>• Average price = \$3.32 (2)</li> <li>• Coffee crop harvest failure (1)</li> <li>• Coffee addictive (1)</li> </ul> <p><b>NB allow up to 2 marks for diagram that enhances the written explanation elsewhere</b></p> | (8)  |



|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
|  | <p><b>Evaluation:</b> 2 marks for two evaluative comments,<br/>OR 2 marks for identification and linked development of one evaluative comment e.g.</p> <ul style="list-style-type: none"> <li>• Depends upon the degree of price elasticity of demand when supply shifts (1)</li> <li>• Depends upon the degree of price elasticity of supply when demand shifts (1)</li> <li>• Use of buffer stocks (1) brings price stability (1)</li> <li>• Transitory changes (1) short-term shocks of disappear over-time (1)</li> <li>• Futures market (1) dampens price instability/removes volatility (1)</li> <li>• Easy to store (1) and therefore to release if there was a poor harvest (1)</li> <li>• Short-run/long-run (1)</li> </ul> <p><b>NB award a maximum of 6/8 if no reference to Fig 2 and/or price elasticity</b></p> |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 2</b></p> <ul style="list-style-type: none"> <li>• Profit maximisation for owners/shareholders, <math>MC=MR</math></li> <li>• Revenue maximisation for managers, <math>MR=0</math></li> <li>• Sales Maximisation to increase market share, <math>AC=AR</math></li> <li>• Limit pricing by Costa</li> <li>• Profit satisficing by Independents</li> <li>• Coffee quality lowers profit</li> <li>• Relocating may allow more profit</li> <li>• Competitive market makes survival top objective</li> <li>• Unique premium experience lowers profits</li> </ul> <p><b>NB Allow use of diagrams to explain the above</b></p> <p><b>NB: For Level 3 response candidates must refer to coffee shops</b></p> <p><b>NB: Alternatives to profit maximisation may be seen as KAA and profit maximisation as evaluation or vice versa</b></p> | (6)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                             |
|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                      |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no link between causes and consequences.                                                                |
| Level 2 | 3–4  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or the answer may lack balance.        |
| Level 3 | 5–6  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are applied appropriately to the broad elements of the question. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Mark       |
|------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <ul style="list-style-type: none"> <li>• Short-term objectives used to achieve long-term profitability e.g. better quality coffee raises costs</li> <li>• Use of profit satisficing to achieve other objectives e.g. customer satisfaction or environmental goals</li> <li>• Difficulty calculating precisely profit maximisation position</li> <li>• Depends on owners – Costa Coffee change in ownership change in objectives</li> <li>• Depends on owners - independent owners aim for normal profit/survival/Coca Cola support sustainable communities</li> <li>• Divorce of ownership and control/principal agent problem</li> </ul> | <b>(4)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                            |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Mark |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p style="text-align: center;"><b>Knowledge 2, Application 2, Analysis 4</b></p> <p>Profitability definition</p> <p><b>Profitability decreases</b></p> <ul style="list-style-type: none"> <li>• Increase in advertising/rent/wages (Fixed Cost) shifts AC upwards</li> <li>• Increase in price of coffee beans/wages (Variable Cost) shifts AC and MC upwards</li> <li>• Loss area/smaller profit connected with <math>MC=MR</math></li> <li>• Slow-down opening new outlets in 2020</li> <li>• Short-term (AVC) or long-term (AC) shut down point</li> <li>• Coffee shops labour intensive</li> </ul> |      |
|                 | <p>• Diagram e.g.</p> <div data-bbox="454 958 1120 1635" data-label="Figure"> </div> <p><b>NB: For Level 3 response candidates must refer to coffee shops. Must have an accurate diagram.</b></p> <p><b>NB Allow diagrams showing e.g. rise in fixed costs only, constant returns to scale.</b></p> <p><b>NB Profitability not decreasing can be seen as EV and decreases as evaluation or vice versa</b></p>                                                                                                                                                                                          | (8)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3–5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6–8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Mark       |
|------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (d)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <p><b>Profitability does not decrease</b></p> <ul style="list-style-type: none"> <li>• Coffee bean costs very volatile</li> <li>• Coffee small proportion of total cost</li> <li>• Rent/labour high proportion of total cost</li> <li>• Profit also determined by revenue</li> <li>• Insufficient information</li> <li>• Prioritisation of reasons</li> <li>• 2020 closures due to external factors</li> <li>• Long-term changes e.g. price of property falls</li> <li>• Absorb costs</li> <li>• Change in market structure – firms exit</li> <li>• Collude/inter-dependence</li> <li>• Change in revenue</li> <li>• Diversify into new product or geographical markets e.g. US</li> </ul> | <b>(4)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Mark |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p style="text-align: center;"><b>Knowledge 3, Application 3, Analysis 3</b></p> <p>Contestable meaning e.g. low barriers to entry or exit or low sunk costs</p> <p>The market <b>is</b> contestable because:</p> <ul style="list-style-type: none"> <li>low barriers to entry e.g.               <ul style="list-style-type: none"> <li>low start-ups costs as it is cheaper to rent shop floor</li> <li>renting machines needed to make coffee rather than buying them</li> <li>increasing threat of competition from independent coffee shops (Extract A line 11)</li> <li>Greggs entry shows they just added chairs and menu range (Extract B line 5)</li> </ul> </li> <li>low sunk costs e.g. training baristas requires less expenditure</li> <li>Coca-Cola takeover of Costa</li> </ul> <p><b>NB Coffee shop not being contestable can be seen as KAA and contestable as evaluation or vice versa</b></p> <p><b>NB for a Level 3 response there must be reference to the context of coffee shop market.</b></p> | (9)  |

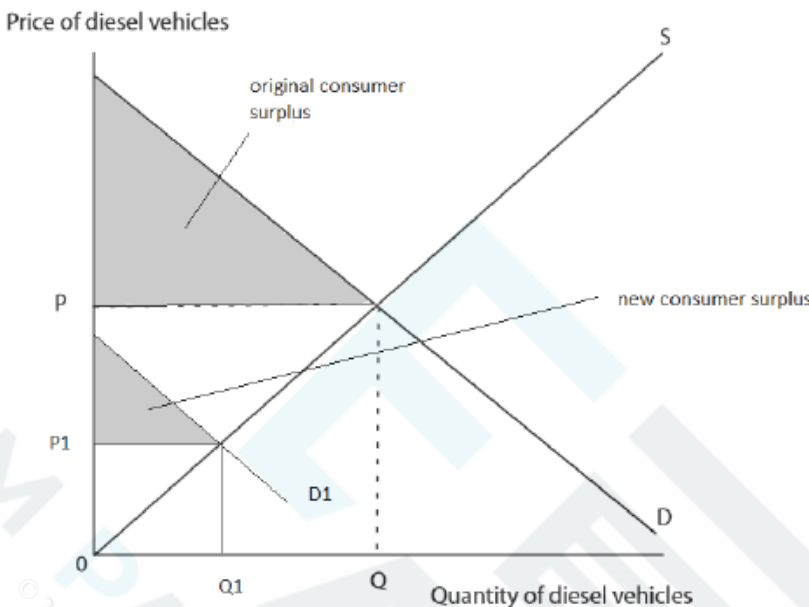
| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–3  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 4–6  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 7–9  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number         | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Mark       |
|-------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| <b>(e)</b><br>continued | <p style="text-align: center;"><b>Evaluation 6</b></p> <p>The market is <b>not</b> contestable because:</p> <ul style="list-style-type: none"> <li>• high barriers to entry e.g.               <ul style="list-style-type: none"> <li>- highly concentrated market with 3-firm CR nearly 53% implying strong brand image,</li> <li>- collusion and economies of scale making it difficult for small independents to enter and grow</li> </ul> </li> <li>• some firms may face high rent costs if they are seeking a larger shop floor/central location</li> <li>• high sunk costs - big chains have finance to spend on promotion and advertising that smaller independent coffee shops won't be able to</li> </ul> | <b>(6)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                               |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                  |
| Level 1 | 1-2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                             |
| Level 2 | 3-4  | Evidence of evaluation of alternative approaches which is unbalanced.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning. |
| Level 3 | 5-6  | Evaluative comments supported by relevant chain of reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence.     |



Q7.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Application 2</b></p> <p>Identify demand shifts left (1)<br/>Annotate or identify reduced consumer surplus (1)</p>  <p><b>NB If the candidate shows an incorrect shift, but the new consumer surplus is correct, award 1 mark</b></p>                                        | (2)  |
| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                            | Mark |
| (b)             | <p style="text-align: center;"><b>Knowledge 1</b></p> <p><b>The only correct answer is C</b></p> <p><i>A is not correct because irrational behaviour would suggest an increase in demand.</i></p> <p><i>B is not correct because if consumers expected price of diesel to rise they would increase demand for diesel.</i></p> <p><i>D is not correct because they are not rival products.</i></p> | (1)  |

| Question Number | Answer                                                                                                                                                                                                                                              | Mark       |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (c)             | <p style="text-align: center;"><b>Knowledge 1</b></p> <p><b>Knowledge</b></p> <p>1 mark for definition, e.g.</p> <p>Amount consumers are willing and able to buy (1)<br/>         Amount consumers buy at a particular price/period of time (1)</p> | <b>(1)</b> |

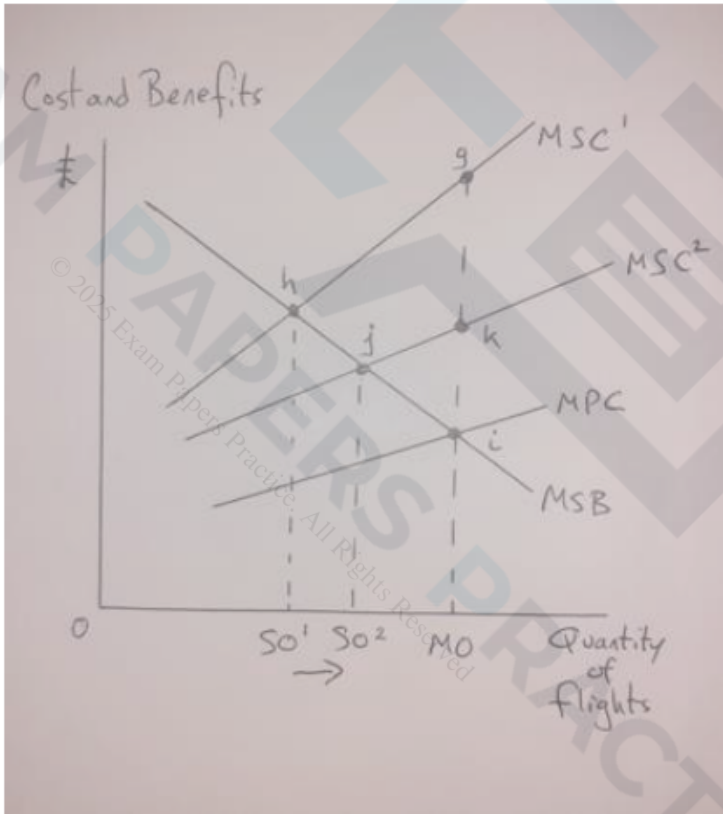
Q8.

| Question Number | Answer                                                                                                                                                                                                                                                                                     | Mark       |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (a)             | <p><b>The only correct answer is C</b></p> <p><i>A is not correct because the supply curve shift has been ignored</i></p> <p><i>B is not correct because this is the cost to the consumer</i></p> <p><i>D is not correct because this is the total amount received by the producer</i></p> | <b>(1)</b> |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Mark       |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (b)             | <p style="text-align: center;"><b>Knowledge 1, Application 1, Analysis 1</b></p> <p><b>Knowledge/Understanding</b></p> <p>1 mark for identification of opportunity cost e.g. the next best alternative forgone.</p> <p><b>Application</b></p> <p>1 mark for specific reference to government spending e.g. schools and hospitals.</p> <p><b>Analysis</b></p> <p>1 mark for analysis of problem e.g. the economic and social case for a subsidy should be judged carefully on the grounds of efficiency and fairness.</p> <p>Government subsidies inevitably carry an opportunity cost and in the long run there might be better ways of saving energy.</p> | <b>(3)</b> |

Q9.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (a)             | <p style="text-align: center;"><b>Knowledge 1, Application 2, Analysis 2</b></p> <p><b>Knowledge and Analysis:</b> up to 3 marks for e.g.</p> <ul style="list-style-type: none"> <li>• Staffing levels fall (1)</li> <li>• Diminishing marginal productivity means for an additional unit of labour the additional increase in productivity declines (1) so the additional cost of hiring more labour (1) needs to be set against the additional productivity gained (1)</li> <li>• As marginal productivity declines/diminishing returns set in (1) marginal cost increases at a faster rate (1) given labour is homogenous (1)</li> <li>• In the short run labour is variable (1) all other factors of production are held constant (1) so an additional unit of labour will result in less additional output (1)</li> <li>• An additional unit of labour results in: marginal product declines (1) average product declines (1) total product increases at a slower rate (1) total cost rises at a faster rate (1) marginal cost increases (1) average cost rises (1)</li> </ul> <p><b>Application:</b> up to 2 marks for e.g.</p> <ul style="list-style-type: none"> <li>• lower marginal productivity of an additional crew member (1) explains why American Airlines are reducing staffing levels (1)</li> <li>• The first cabin crew member serves 50 passengers, the second serves 60 additional passengers, the third serves 30 more, the fourth serves 20 (1+1)</li> <li>• The number of additional meals served will decline per additional crew member (1) as crew members start to get in each other's way (1)</li> <li>• The available space on the plane is fixed (1) and seating/trolley/meals/doors available (1)</li> <li>• Lower cost per passenger (1) cheaper tickets (1)</li> </ul> | (5)  |

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (b)             | <p style="text-align: center;"><b>Knowledge 2, Analysis 2, Application 2, Evaluation 2</b></p> <p><b>Knowledge/understanding:</b> 2 marks (1+1) e.g.</p> <ul style="list-style-type: none"> <li>• Social optimum is when <math>MSC = MSB</math> (1)</li> <li>• Social optimum position moves right (1)</li> <li>• Market equilibrium output (e.g. <math>MO</math>) position identified (1)</li> <li>• Downward sloping <math>MSB</math> (1)</li> <li>• <math>MSC = MPC + MEC</math> (1)</li> </ul>  |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |            |
|--|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
|  | <p><b>Analysis:</b> 1 mark for linked explanation of each identified benefit (1+1) e.g.</p> <ul style="list-style-type: none"> <li>• Third party effects are lower (1) so external costs are lower/MEC falls (gi to ki) (1)</li> <li>• MSC shifts/skews right (1) showing new social optimum position (MSB=MSC) (1)</li> <li>• Welfare loss falls (1) from ghi to kji (1)</li> </ul> <p><b>Application:</b> 2 marks for reference to Extract B e.g.</p> <ul style="list-style-type: none"> <li>• Thomas Cook airline emissions are lower/switch fuel types/new engines (1)</li> <li>• In 2018 Thomas Cook Group Airline was included in the top 10 of the world's most fuel-efficient airline (1)</li> <li>• Lower insurance bills/clean up bills for companies/households at risk of flood damage/storms (1) loss of cattle/crops due to drought declines (1)</li> <li>• CO<sub>2</sub> emissions per passenger declines (1) quantity of flights increases (1)</li> </ul> |            |
|  | <p><b>NB These application points may be annotated on the diagram.</b></p> <p><b>Evaluation:</b> 2 marks for two evaluative comments, OR 2 marks for identification and linked development of one evaluative comment e.g.</p> <ul style="list-style-type: none"> <li>• Difficulty in measuring size of negative externality (1) third party effects (1)</li> <li>• CO<sub>2</sub> emissions from travel agents, hotels and holiday activities increase/remain high (1+1)</li> <li>• Computational problems in measuring CO<sub>2</sub> emissions from planes (1) faulty industry data (1)</li> </ul>                                                                                                                                                                                                                                                                                                                                                                       | <b>(8)</b> |

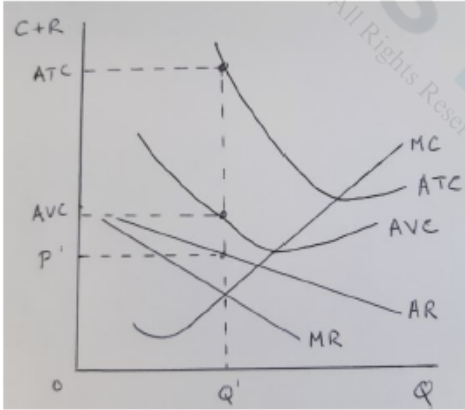


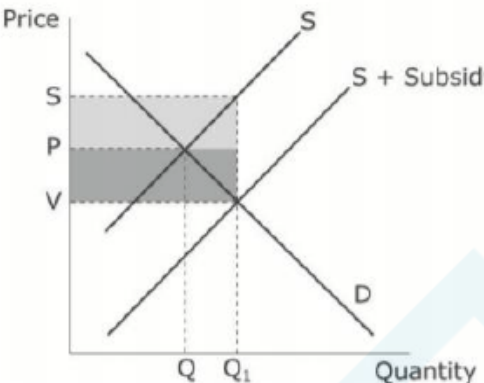
| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (c)             | <p><b>Knowledge 2, Application 2, Analysis 2</b></p> <p><b>Case for principal agent problem being significant.</b></p> <p>Conflict of interest between the principal (shareholder) and the agent (CEOs/directors/managers) creates problems for Thomas Cook:</p> <ul style="list-style-type: none"> <li>• Moral hazard – no consequences for the failings of management results in high-risk behaviour</li> <li>• Chief Executive incentivised by £500 000 bonus and £8.5 million salary possibly linked to sales or market share rather than the long-term profitability of Thomas Cook</li> <li>• To increase sales or market share the Chief Executive may have focussed on mergers with other Travel businesses, price wars with competitors or investing in buying new hotels and planes rather than keeping costs low and paying off debts</li> <li>• Chief Executive may have prioritised a greener image by reducing emissions or better pay to avoid pilots striking and sought to satisfy shareholders instead reducing the long-term profitability of Thomas Cook</li> </ul> | (6)  |

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                             |
|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                      |
| Level 1 | 1–2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no link between causes and consequences.                                                                |
| Level 2 | 3–4  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response or the answer may lack balance.        |
| Level 3 | 5–6  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are applied appropriately to the broad elements of the question. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Mark       |
|------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (c)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <p style="text-align: center;"><b>Case against 'principal agent problem'</b></p> <ul style="list-style-type: none"> <li>Employee share-ownership schemes address the problem. £4m of the CEO's £8.5m earning is in shares – so as an employee he is motivated by profit maximisation, bringing him in-line with shareholders. His shares are now worthless</li> <li>CEO worked "exhaustively" to rescue Thomas Cook and create a long-term strategy. By owning planes and hotels they would have assets and not borrow to rent. In the long-run Thomas Cook could have moved its sales more on-line</li> <li>Shareholders have lost capital value but the CEO has lost his job, earnings and his reputation</li> <li>Shareholders can hold the CEO accountable at their AGM, reject pay and bonus awards and place the CEO on a short-term contract to avoid the long-term contract short-term gain problem</li> <li>Other factors that caused closure – fuel prices, competition.</li> </ul> | <b>(4)</b> |

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/ reference to context.<br>No evidence of a logical chain of reasoning.                            |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |

| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark |
|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)             | <p><b>Knowledge 2, Application 2, Analysis 4</b></p> <p><b>Case for subsidy:</b></p> <ul style="list-style-type: none"> <li>• Subsidy is financial aid, grant</li> <li>• In long run required more to cover AC</li> <li>• Subsidy may have lowered AC, may be shown as shift on diagram</li> <li>• Benefit of subsidy to producer may cover their AVC in short-run or AC in long-run.</li> <li>• Avoid government rescuing 600 000 travellers</li> <li>• Avoid government paying benefits to up to 21 000 employees and those losing jobs in related industries e.g. hotels</li> <li>• Subsidy may have leveraged help from banks and shareholders</li> <li>• Thomas Cook may have recovered - Package holidays may have come back into fashion – aging population. Recession may have seen a rise in demand for package holidays as an inferior good, YED negative</li> <li>• Diagram may be used, for example:</li> </ul>  |      |

|  |                                                                                                                                                                                                                                                               |     |
|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|
|  | <p>OR</p> <p><b>Incidence of a Subsidy</b></p>  <p>NB a diagram is not required<br/>NB case against subsidy may be seen as KAA and case for as evaluation or vice versa.</p> | (8) |
|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|

| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1-2  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 3-5  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 6-8  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Mark |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (d)<br>continued | <p style="text-align: center;"><b>Evaluation 4</b></p> <p><b>Case against subsidy</b></p> <p>Lack of finance</p> <ul style="list-style-type: none"> <li>• £150 million not enough - £1.5 billion loss.</li> <li>• Needed help from bank loan (zombie-firm), shareholders or another company taking over Thomas Cook. Not willing to help.</li> <li>• £1.5 billion loss in May 2017, already in long-run</li> <li>• Cheaper and more effective to nationalise to rescue employees and suppliers</li> </ul> <p>Merger with MyTravel</p> <ul style="list-style-type: none"> <li>• Diseconomies of scale, <math>LRAC &gt; AR</math></li> <li>• Lack of synergy</li> <li>• Loss making business</li> </ul> |      |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |     |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|
|  | <p>Falling demand for Package holidays</p> <ul style="list-style-type: none"> <li>• AR shifting in</li> <li>• Booking online through competitors rather than Thomas Cook high street outlets</li> <li>• Package holiday inferior good, YED negative.</li> <li>• Climate change – stay at home.</li> </ul> <p>Opportunity cost</p> <p>Dependency</p> <p>Government lacks funds- budget deficit</p> <p>Moral hazard</p> <p>No consequences for the failings of management will teach other businesses who get into commercial difficulties that government will pick up the pieces</p> <p><b>NB: Case against subsidy may be seen as KAA and case for as evaluation or vice versa.</b></p> | (4) |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|

| Level   | Mark | Descriptor                                                                                                                                                                  |
|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                     |
| Level 1 | 1–2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                |
| Level 2 | 3–4  | Evaluative comments supported by relevant reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence. |



| Question Number | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Mark |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| (e)             | <p style="text-align: center;"><b>Knowledge 3, Application 3, Analysis 3</b></p> <p><b>Exploiting market power</b></p> <ul style="list-style-type: none"> <li>• Jet2 increases 'price per person' by £36 after Thomas Cook closes (Fig 2)</li> <li>• Thomas Cook, with a 13% market share in 2019, exits the market causing Jet2 to gain market share, possibly close to 25% - gaining monopoly power/duopoly/oligopoly (Fig 1)</li> <li>• Jet2 may be using its monopoly dominance to set a price above the market clearing/allocatively market price</li> <li>• Consumer surplus reduced, producer surplus gained.</li> <li>• With less competition for package holidays, Jet2's PED becomes relatively more price-inelastic resulting in greater price setting powers for package holidays</li> <li>• Jet2 may now be able to set its price at a profit maximising level of £824 rather than possible sales maximisation/revenue pricing/limit pricing/predatory pricing at £788</li> <li>• Demand for Jet2 holidays increasing as a close substitute to Thomas Cook</li> <li>• Remaining companies colluding, use of game theory.</li> </ul> <p><b>N.B KAA may be used as EV and vice-versa.</b></p> | (9)  |



| Level   | Mark | Descriptor                                                                                                                                                                                                                                                                                                                                                                                |
|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | A completely inaccurate response.                                                                                                                                                                                                                                                                                                                                                         |
| Level 1 | 1–3  | Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models.<br>Use of generic or irrelevant information or examples.<br>Descriptive approach which has no chains of reasoning or links between causes and consequences.                                                                                                                           |
| Level 2 | 4–6  | Displays elements of knowledge and understanding of economic principles, concepts and theories.<br>Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question.<br>A narrow response; chains of reasoning are developed but the answer may lack balance.                                                       |
| Level 3 | 7–9  | Demonstrates accurate knowledge and understanding of the concepts, principles and models.<br>Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.<br>Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning. |

| Question Number  | Indicative content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark       |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| (e)<br>continued | <p style="text-align: center;"><b>Evaluation 6</b></p> <p><b>Responding to market forces</b></p> <ul style="list-style-type: none"> <li>• Demand for Jet2 holidays increasing as a close substitute to Thomas Cook. This may have been happening before Thomas Cook closure</li> <li>• Thomas Cook exiting the package holiday may have removed a surplus of package holidays</li> <li>• At the price of £788 there is now a shortage of holidays to Sorrento, as shown by excess demand due to cancelled Thomas Cook holidays</li> <li>• Market forces resulting in Jet2 extending their supply at higher prices</li> <li>• As they increase the price to £824 the market may clear</li> </ul> | <b>(6)</b> |

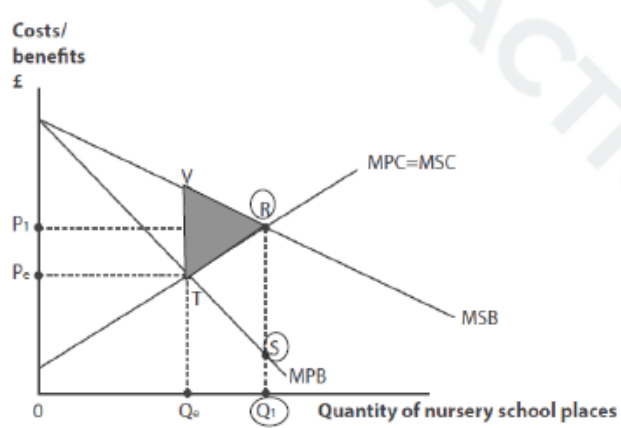
|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
|  | <ul style="list-style-type: none"> <li>• Consumers may decide not to buy at higher price - to stay home or become anxious about firms closing and cancelled holidays</li> <li>• Other factors may have caused demand to rise or supply to shift inwards</li> <li>• Market share may not be reallocated to Jet2</li> <li>• Jet2 is a distant substitute and may not go to same destinations as Thomas Cook</li> <li>• Companies do not collude as fear a whistle-blower and fines 10% of revenue</li> <li>• Rising marginal costs for Jet2 to reduce CO<sub>2</sub> emissions/ buy more fuel to new destinations/ costly take overs.</li> </ul> <p><b>NB KAA may be used as EV and vice-versa.</b></p> |  |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|

| Level   | Mark | Descriptor                                                                                                                                                                               |
|---------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | 0    | No evaluative comments.                                                                                                                                                                  |
| Level 1 | 1-2  | Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.                                             |
| Level 2 | 3-4  | Evidence of evaluation of alternative approaches which is unbalanced.<br>Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning. |
| Level 3 | 5-6  | Evaluative comments supported by relevant chain of reasoning and appropriate reference to context.<br>Evaluation recognises different viewpoints and/or is critical of the evidence.     |

Q10.

| Question Number | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Mark       |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
|                 | <p style="text-align: center;"><b>Knowledge 1</b></p> <p><b>Knowledge/understanding</b><br/>           1 mark for definition of external benefits e.g.</p> <ul style="list-style-type: none"> <li>• Positive externality (1)</li> <li>• When the social benefits of an economic action are greater than the private benefits (1)</li> <li>• External benefits = social benefits – private benefits (1)</li> <li>• Benefits accruing to a 3<sup>rd</sup> party (1)</li> <li>• Spillover effects (1)</li> <li>• Outside the price mechanism (1)</li> </ul> | <b>(1)</b> |

| Question Number | Answer | Mark       |
|-----------------|--------|------------|
|                 | B      | <b>(1)</b> |

| Question Number | Answer                                                                                                                                                                                                                                                                                 | Mark       |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
|                 | <p style="text-align: center;"><b>Application 2</b></p> <p>Identify welfare gain area VTR (1)<br/>           Annotate or identify the social optimum output as <math>Q_1</math> or R or S (1)</p>  | <b>(2)</b> |